Broadcom Inc. (AVGO)

The $2T AI Compounder: Why Broadcom's Moat Is Wider Than You Think

BUY | $475 PT | +18.8% Upside

Spot: $399.83 (29-Apr-2026)

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Investment Thesis At-a-Glance

1. AI thesis is real & multiple is defensible
6-customer XPU franchise; 23x forward P/E

2. Customer concentration is diversifying
Google falls from 50% to 35% by FY27

3. Margins are the upside surprise
Gross margin guided flat 77% through FY27

4. Competitive moat wider than market thinks
18-month design lead over COT (Zebrafish)

5. Six methods triangulate to $475 PT
Modestly above Street median ($460)

Business Overview: Two Segments, One Model

Semiconductor Solutions

- **Scale:** $40.0B (62% of FY25 Rev)
- **Products:** Custom AI accelerators (XPUs), networking silicon, wireless, broadband, storage.
- **AI Shift:** Cyclical legacy business transformed by $24B annualized AI run-rate (growing 100%+ YoY).

Infrastructure Software

- **Scale:** $23.9B (38% of FY25 Rev)
- **Products:** VMware Cloud Foundation, Symantec, CA mainframe.
- **Economics:** 92%+ gross margin subscription model.

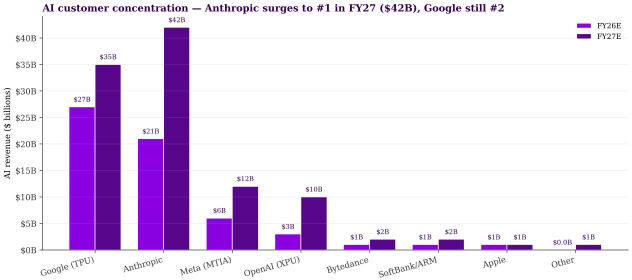
The Broadcom Playbook (Hock Tan, CEO since 2006):
Serial M&A → Strip overhead → Re-price to top enterprises. (5Y Rev CAGR: 23.5%)

What Changed: The AI Customer Story

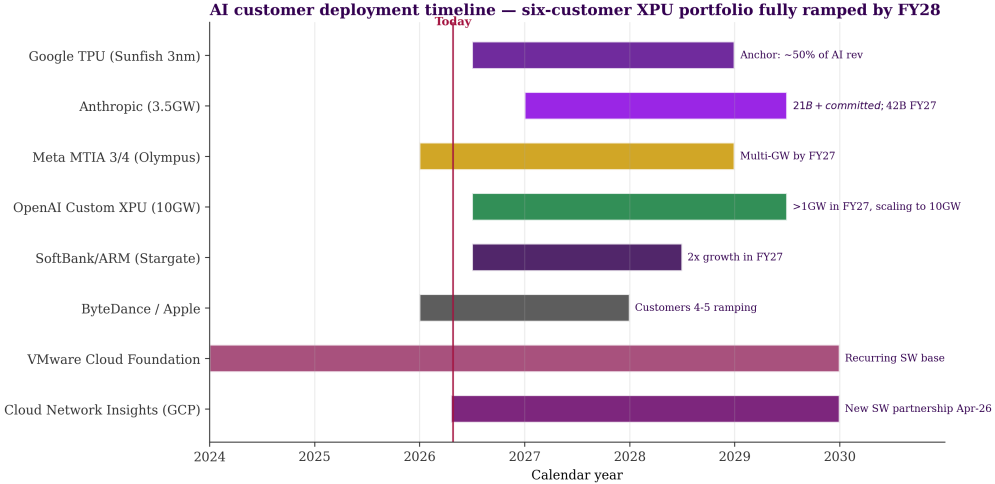
Six Committed XPU Customers:

- **Google (TPU):** The anchor program ($27B → $35B in FY27).
- **Anthropic:** Explodes to $42B in FY27 via Google Cloud (largest contributor).
- **Meta (MTIA):** Extended through 2029 (multi-GW).
- **OpenAI:** 10-GW co-design deal ($3B → $10B).

Management's FY27 "$100B+" AI revenue guide is fully supported by the XPU portfolio effect.



Recent Strategic Catalysts



- **Oct 2025:** OpenAI 10-GW custom XPU partnership (Customer 6).
- **Apr 2026:** Anthropic 3.5-GW 3-way deal via Google Cloud.
- **Apr 2026:** Meta MTIA extended through 2029.

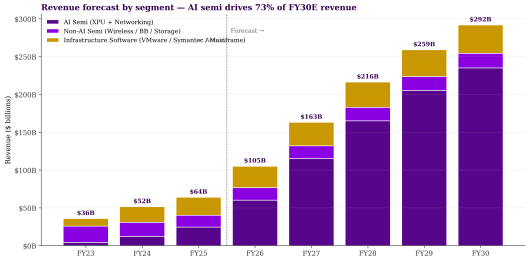
Financial Trajectory

Top-Line Growth (41% AI CAGR)

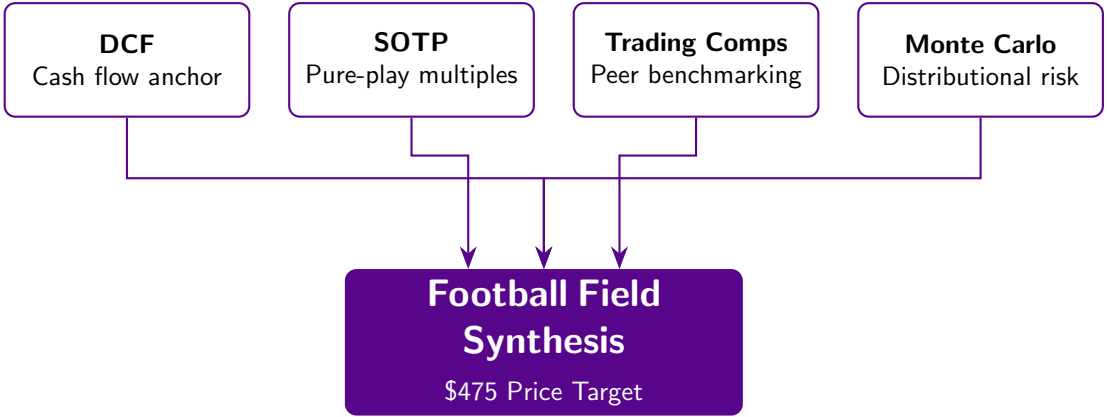
- **FY26E:** $105B (+64% YoY)
- **FY27E:** $163B
- **FY30E:** $292B

Margin Expansion

- EBITDA expands from 67.7% today to 72% by FY30.
- Reversal of rack-scale margin warning was the largest Q1 positive surprise.



Valuation Framework



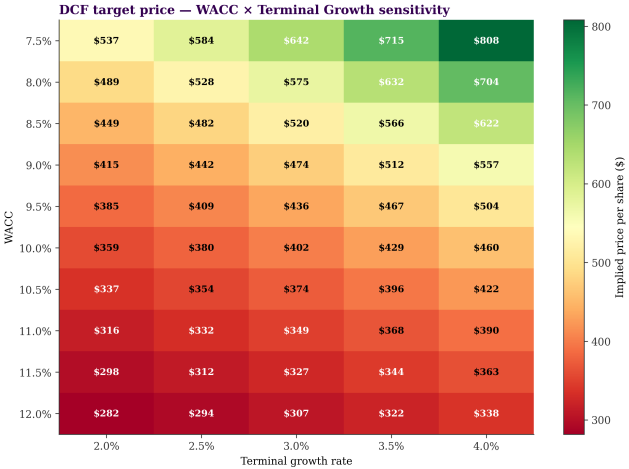
Discounted Cash Flow (DCF)

WACC Build (9.50%)

- **Rf:** 4.31% (10Y T-Note)
- **ERP:** 5.0%
- **Beta:** 1.20 (2Y weekly)
- **Cost of Debt:** 5.0% (pre-tax)
- **Terminal Growth:** 3.0%

Result

- **Base Case:** $436 per share.
- **Sensitivity:** $402–$474 range at ±50bps WACC.
- *Caveat: Terminal value is 80% of EV.*



Sum-of-the-Parts & Trading Comparables

Sum-of-the-Parts (Mid: $401)

Segment	Mult	Val ($)
Semi (EBITDA 62%)	20x	$321
Software (EBITDA 77%)	17x	$482
Implied Price		**$401**

- Separates hardware (NVIDIA/AMD comps) from mature SaaS.

Trading Comps (Fwd P/E Mid: $414)

Multiple	Ratio	Val ($)
Fwd P/E (on $18.83)	22x	$414
EV/EBITDA	18x	$409

- Peer median Fwd P/E is 28.3x; we apply a conservative 22x.
- Peer median EV/EBITDA skewed by AMD/MRVL (31.8x).

Both relative methods cluster between $400 and $440, supporting the DCF base case.

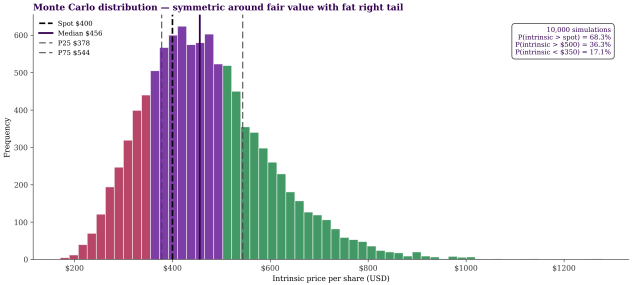
Monte Carlo Simulation

10,000 Paths — 6 Inputs

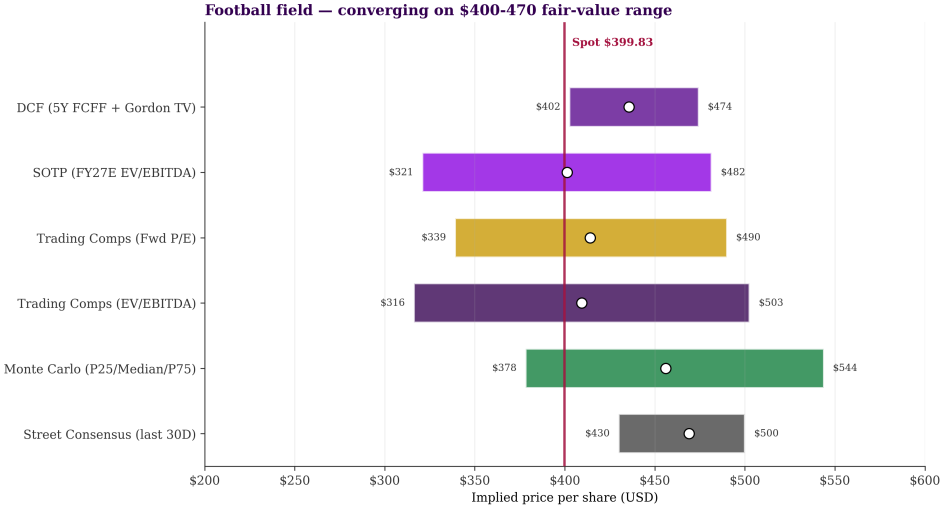
- **FY27 AI Rev:** Normal($125B, $25B) - Anchors on Street median.
- **Terminal g:** Normal(3.0%, 0.5%)
- **WACC:** Normal(9.5%, 0.5%)

Result

- **Mean:** $471
- **P25 / P75:** $378 / $544
- **Probability > Spot: 68.3%**



Football Field Synthesis

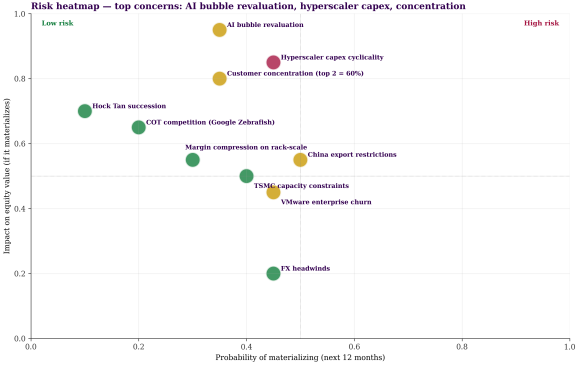


- **Ranges:** DCF $402–474, SOTP $321–482, Comps Fwd P/E $339–490.
- **Convergence:** Six methods cluster in the $400–$510 range.

Risk Framework

Top-Right Risks (High Prob/Impact)

- **Hyperscaler Capex:** Coordinated Google/Meta/MSFT pullback compresses multiple and revenue (30% downside modeled).
- **Customer Concentration:** Google + Anthropic ∼60% of FY27 AI mix.
- **AI Bubble Revaluation:** AVGO highly exposed to multiple compression given 80% terminal value share.



Catalyst Calendar & What Would Change Our View

Date	Catalyst Event
5-Jun-2026	Q2 earnings — AI revenue actuals vs. $10.7B guide.
H2-2026	TPU Sunfish 3nm volume ramp + OpenAI rack deployments.
4-Sep-2026	Q3 earnings — First framing commentary on FY27.
Dec-2026	Q4 + FY27 Guide — Critical print to validate $100B+ AI floor.

What would move us off BUY:
Spot breaks $475 | FY27 AI guide < $100B | Google share-loss to Zebrafish

Recommendation Summary

Broadcom Inc. (AVGO)

BUY | $475 PT | +19%

68.3% probability of upside vs. $399.83 spot

Top Catalyst: Dec-2026 FY27 Guide | Top Risk: Hyperscaler Capex

Q&A

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